

NVIDIA Corporation

NVDA NASDAQ

Buy

\$228.65 ▲ 1.59%

12M Price Target
\$260.00

52-Week Range
\$164.27 – \$236.54

Market Cap
\$5.52T

NVDA: Buyback Boost and Anthropic Deal Reignite Momentum

WHAT HAPPENED

- NVDA popped 1.6% on heavy volume (118M shares vs ~90M average) after two big catalysts: management boosted the stock buyback program (translation: the company is using its cash to buy its own shares, which shrinks the share count and boosts EPS — a confidence signal), and news dropped that Anthropic is spending a "massive number" on NVIDIA chips. That's the AI capex cycle refusing to slow down.
- Options flow is loud but weird — put/call ratio of 0.41 looks bullish on the surface, but there's unusual PUT buying at \$230-232.50 expiring this week. That's likely hedging by big holders locking in gains near the 52-week high, not a directional bet against the company.

WHY IT MATTERS

The Anthropic spending headline matters more than it looks — it confirms that even as people worry about an "AI bubble," the actual customers (Anthropic, OpenAI, Meta, Google) are still writing bigger checks, not smaller ones. The buyback increase is management essentially saying "we think our stock is a good buy at these levels" — that's rare for a company already at \$5.5T market cap and near 52-week highs. Insider selling looks scary at first (Director Stevens dumped \$298M), but that's a longtime board member trimming a position that's compounded 10x+ — not a "get out now" signal. The bigger picture: NVDA is trading at 89% of its 52-week range because the fundamentals keep outrunning the skeptics, and the buyback tells you management sees more room to run.

POLICY & POLITICAL WATCH

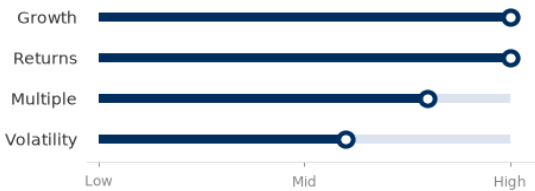
The single biggest policy variable is US-China chip export controls — the Commerce Department is expected to review the H20 and next-gen China-compliant chip rules this fall, and any loosening (unlikely) is upside, any tightening (more likely) shaves 10-15% off addressable market. Meanwhile, the CHIPS Act 2.0 discussions in Congress and the administration's AI infrastructure executive order are directly funneling federal dollars toward domestic AI compute — NVDA is the default beneficiary since nobody else can ship at scale. Watch also for antitrust noise: the FTC has been sniffing around NVDA's CUDA software moat, and any formal investigation would be a real headwind (not a killer, but a multiple-compressor).

IS IT EXPENSIVE?

Key Data

Price (USD)	\$228.65
12M Price Target	\$260.00
Upside / (Downside)	+13.7%
Market Cap	\$5.52T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$5.90
Fwd P/E	51.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$235.00	\$215.00
6 Months	\$275.00	\$250.00	\$200.00
1 Year	\$310.00	\$260.00	\$185.00
2 Years	\$380.00	\$300.00	\$170.00
5 Years	\$550.00	\$400.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare and Staples caught a small defensive bid today as bond yields rose — that's a "risk-off" tell, but AI-adjacent tech is ignoring it, which is bullish for NVDA specifically.

COOLING OFF: Utilities (-3.3% over 5 days) and Real Estate (-3% over 5 days) are getting hammered by rising yields — higher rates make their dividends less attractive.

ROTATION WATCH: Money is NOT rotating out of AI despite the yield move, which is important — it tells you institutions view AI infrastructure as a secular growth story that overrides rate concerns.

RELATED PLAY: If NVDA keeps ripping, the power and cooling infrastructure names (Vertiv, Eaton) and data center REITs (Equinix, Digital Realty) benefit as the second derivative — you can't run NVDA chips without electricity and buildings.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Custom AI accelerators for hyperscalers — the "not NVDA" AI bet that's still winning
- META (Meta Platforms): Moving into enterprise AI per today's news, and one of NVDA's biggest customers — their capex commitment is a leading indicator

NVDA CONTEXT: NVDA is leading its peer group and near a 52-week high on heavy volume — that's textbook institutional accumulation, not blow-off top behavior. When a \$5.5T stock still moves 1.6% on volume this heavy, it means real money is still building positions.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm confident but not pounding the table because the stock is near highs and any macro/geopolitical shock hits it first and hardest.

POSITION SIZE: 5-8% of portfolio — this can be a core holding, but don't go overboard because when it moves down it moves fast.

ENTRY POINTS: Add on pullbacks to \$215-222 (recent support zone). Chasing at \$228+ is fine for a starter, but leave room to average in.

TIME HORIZON: 12-24 months — the catalyst is continued hyperscaler capex, the next earnings print (November), and any federal AI infrastructure funding announcements.

WHEN TO BAIL: If quarterly data center growth drops below 20% YoY, if China restrictions expand meaningfully, or if a major hyperscaler publicly signals a capex pause — any one of those and I trim hard.

HEDGING: Buy protective puts about 10% below current price for peace of mind — think of it as insurance on your position. Costs a small premium but caps your downside if a China headline hits over a weekend.